Jio Financial Services Ltd

Jio Financial Services Limited, Q3 2025 Earnings Call, Jan 17, 2025

Fri Jan 17 2025 Earnings Call Transcript

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Summary NEW

Key Takeaways

Jio Financial Services Limited's Q3 FY'25 earnings call highlighted strong operational execution, expansion mode with a diversified product suite, enhanced distribution, and a scalable tech stack. The company is focused on crafting best-in-class digital journeys for customers and has entered into a marketing tie-up to leverage the MyJio app for customer acquisition. They are also securing licenses for scaling up businesses and have submitted applications for final approvals regarding their asset management JV with BlackRock.

Key Financial Results

- Consolidated profit after tax for Q3 FY '25 stood at INR 295 crores .
- Total income for the quarter was INR 449 crores , compared to INR 414 crores in Q3 FY '24.
- Interest income was INR 210 crores .
- Net gain on fair value changes on money market and liquid mutual funds was INR 191 crores .
- Fees and commission income totaled INR 37 crores .
- Total expenses including provisions were INR 131 crore .
- Assets under management (AUM) of JFL stood at INR 4,199 crores in Q3 FY '25, compared to INR 1,206 crores in the preceding quarter.

Business Segment Results

- Jio Finance Limited (JFL) has 9 offices across 7 cities for last-mile fulfillment.
- Jio Payment Bank Limited expanded its business correspondent network to around 7,300 BCs across the country.
- Jio Payment Solutions Limited received the online payment aggregator license.
- Jio Payment Solutions Limited has embedded its payment solution with JioBharat.
- The payment bank saw a 25% quarter-on-quarter increase in its customer base to 1.89 million CASA customers .
- All the digital properties of JFSL saw a combined monthly active user base of 7.4 million customers .
- Jio Insurance Broking Limited (JIBL) has insurance plans available from 31 leading insurance companies .

Capital Allocation

- JFSL and BlackRock made an initial investment of INR 82.5 crores each in Jio BlackRock Asset Management Private Limited.
- JFSL and BlackRock also made an initial investment of INR 3 crores each in Jio BlackRock Investment Advisers Private Limited.

Industry Trends and Dynamics

- JFSL aims to simplify financial services by becoming a trusted digital-first financial companion for the people of India.
- The company leverages next-gen technology to cater to diverse financial needs.
- There is a growing demand for affordable feature phones across the country.
- A large part of the population still uses feature phones.

Competitive Landscape

- JioFinance app is a unified digital storefront for retail customers.
- Jio Payment Solutions Limited is receiving the online payment aggregator license, which will allow it to offer payment gateway services to merchants for online commerce.
- Jio BlackRock Asset Management Private Limited submitted an application to SEBI seeking final approval.
- JioFinance Platform and Services Limited has also filed for a third-party application provider, or TPAP, license with NPCI for the JioFinance app.

Growth Opportunities and Strategies

- JFSL is in an expansion mode with a diversified product suite, enhanced distribution, and a modular and scalable tech stack.
- The company is focused on operational execution to craft best-in-class digital journeys for its customers.
- JFSL is focusing on enhancing its distribution channels across businesses.
- The company has entered into a marketing tie-up to leverage the MyJio app for customer acquisition.
- JFSL is taking concrete steps towards securing and applying for licenses necessary for scaling up its businesses.
- JFL is focused on driving loan book growth through a combination of internal synergies and external partnerships, including with the larger Jio ecosystem.
- JIBL expanded its offerings by launching non-term life insurance through direct-to-customer channel.
- JIBL has also codeveloped and launched a range of sachet insurance products, including solar panel insurance and cyber insurance, to address specific customer needs under its embedded insurance channel.

Financial Guidance and Outlook

- JFSL will continue to focus on its cost levers and aims to maintain best-in-class cost-to-income ratio.
- The company aspires to become one of the leading companies in financial services in terms of market share and return ratios.

Technology and Digital Initiatives

- JFSL leverages technology, customer intelligence, and analytics to deliver tailored solutions.
- Customers can complete their journey within minutes through a seamless and end-to-end digital process.

- Small merchants can now be onboarded onto the payment solutions platform within 5 minutes by leveraging AI.
- The business has upgraded to a new robust SaaS-based platform for payment services that will support a diversified distribution strategy.
- The JioFinance app features a diverse and growing bouquet of products and services.
- SmartGold, a way of buying digital gold, went live on the JioFinance app.
- The app also saw the launch of MyMoney, a personal finance manager.

Q & A Highlights

Jio Financial Services Limited's Q3 2025 earnings call featured analyst questions primarily focused on the company's **financial performance**, including **total income**, **expenses**, and **profit after tax**. Additionally, analysts inquired about the company's **business segments**, such as **lending and leasing**, **payment solutions**, and **insurance broking**, seeking details on **growth strategies**, **distribution channels**, and **product offerings**. The call also addressed questions about **strategic initiatives**, including the **partnership with BlackRock** and **license applications**.

Show The Company's Guidance And Outlook

This document provides an overview of Jio Financial Services Limited's (JFSL) Q3 2025 earnings call, focusing on both financial guidance and future outlook. There was no explicit financial guidance for the next quarter or full year. However, the call highlighted the company's strategic initiatives, business performance, and future aspirations. The company's outlook emphasized expansion, digital transformation, and becoming a leading financial services provider.

Call Participants

EXECUTIVES

Abhishek Haridas Pathak
Group Chief Financial Officer

Hitesh Kumar Sethia
CEO, MD & Director

Jill Deviprasad
Head of Investor Relations

Presentation

Jill Deviprasad
Head of Investor Relations

Good evening, everyone. My name is Jill Deviprasad, and I'm the Head of Investor Relations for Jio Financial Services Limited. On the declaration of the results for the third quarter ended December 31, 2024, for FY '24/'25, it gives me immense pleasure to welcome the analysts, investors and our colleagues to this virtual meeting.

We have with us today our MD and CEO, Mr. Hitesh Sethia and our Group Chief Financial Officer, Mr. Abhishek Pathak. [Operator Instructions] The earnings presentation is uploaded on our website, www.jfs.in, and on the stock exchanges.

Before I hand over the call, I would like to read out the safe harbor statement. This presentation contains forward-looking statements, which may be identified by their use of words like plans, expects, estimates or other words of similar meaning. All statements that address expectations or predictions about the future, including but not limited to statements about strategy for growth, product development, market position, are forward statements based on rationale and data. Actual results may vary materially given market circumstances.

I will now hand over the call to Hitesh to discuss the business in detail.

Hitesh Kumar Sethia
CEO, MD & Director

Thank you, Jill, and good evening, everyone. A very warm welcome to all those joining this earnings call today. At the outset, I would like to wish all of you and your near and dear ones a very healthy, happy and a prosperous New Year.

Today, we shall discuss our business performance for Q3 FY '25 and 9 months ended December 31, 2024, which reflects, in my view, strong operational execution. Our vision at JFSL is to simplify financial services by establishing ourselves as a trusted digital-first financial companion for the people of India, catering to their diverse financial needs by leveraging next-gen technology. Our adjacency to an expansive customer base provides valuable insights which, combined with advanced data analytics, enables us to identify what customers want, when they want it and how they want it. This integration of technology, customer intelligence and analytics empowers us to deliver tailored solutions while minimizing risks and maintaining the highest standards of governance and regulatory adherence.

In this slide, you can see a snapshot of the key operating highlights for the third quarter of FY '25. I'm happy to share that with a diversified product suite, enhanced distribution and a modular and scalable tech stack, we are firmly in an expansion mode. Having put the building blocks of the business in place, our focus is now [squarely] on operational execution with an unwavering determination to craft best-in-class digital journeys for our customers. Whether it is to buy digital gold, open a payment bank account, avail loan on mutual funds, purchase 2-wheeler insurance or onboard a small merchant for payment solutions, customers can complete their journey within a matter of minutes through a seamless and end-to-end digital process.

Simultaneously, we are also focusing on enhancing our distribution channels across the businesses. Jio Finance Limited, or JFL, which is our NBFC, now has 9 offices across 7 cities for last-mile fulfillment. Jio Payment Bank Limited has expanded its business correspondent network to around 7,300 BCs across the country, and Jio Payment Solutions Limited has embedded its payment solution with JioBharat, which allows us to onboard small merchants at scale commensurate to growing demand for affordable feature phones across the country.

We have now entered into a marketing tie-up to leverage the MyJio app for customer acquisition. The result of these strategic initiatives are beginning to reflect in our business performance. The assets under management of JFL stood at INR 4,199 crores in Q3 FY '25 compared to INR 1,206 crores in the preceding quarter. The payment bank saw a robust 25% quarter-on-quarter increase in its customer base to 1.89 million CASA customers and all the digital properties of JFSL saw a combined monthly active user base of 7.4 million customers.

We have also taken concrete steps towards securing and applying for licenses necessary for scaling up our businesses further in the near future. A positive development in the last quarter was Jio Payment Solutions Limited receiving the online payment aggregator license, which will allow it to offer payment gateway services to merchants for online commerce.

On the asset management JV with BlackRock, after obtaining in-principle approval for its sponsors, JFSL and BlackRock, Jio BlackRock Asset Management Private Limited submitted an application to SEBI seeking final approval. And JioFinance Platform and Services Limited has also filed for a third-party application provider, or TPAP, license with NPCI for the JioFinance app.

Finally, a quick look at the financial performance. The consolidated profit after tax for Q3 FY '25 stood at INR 295 crores. Abhishek, our Group CFO, will talk you through the detailed financial performance of the company in the second half of this presentation.

Moving forward, the JioFinance app is our unified digital storefront for retail customers and a seamless, secure and convenient platform for engaging with our financial products and services. During Q3 FY '25, the combined average monthly active users across all the digital properties of JFSL, including the JioFinance app and our embedded offerings within the MyJio app, stood at 7.4 million users across the 4 core financial needs of a customer, which is borrow, transact, invest and protect. The JioFinance app features a diverse and growing bouquet of products and services with relevance across [indiscernible]. On the auspicious occasion of Dhanteras, SmartGold, a convenient way of buying digital gold through safe, hassle-free and transparent process went live on the JioFinance app. Customers can now buy digital gold either in lump sum or through a systematic investment plan.

The app also saw the launch of MyMoney, a personal finance manager that allows customers to track and analyze their investments and expense. During the quarter, we accelerated our targeted marketing efforts by offering tailored products to relevant customers on the MyJio app, leveraging the wide customer funnel that MyJio offers. We also integrated exciting rewards with UPI and bill payments on our platform, which our customers received with much enthusiasm.

Turning to our lending and leasing vertical, through which we cater to both retail and corporate segments, offering a diverse range of products. JFL is focused on driving loan book growth through a combination of internal synergies and external partnerships, including with the larger Jio ecosystem. For instance, JFL's home loan products are being distributed by the physical network of our group ecosystem as well as through collaborations with external property portals and real estate developers.

In the Loan Against Shares and Mutual Funds segment, JFL has established channel partnerships with wealth management firms and banks to serve high net worth individuals through a seamless digital model. JFL is committed to empowering customers with quick and flexible access to loans backed primarily by either property or shares in mutual funds, thereby addressing the evolving financial needs of our customers.

On the payment front, our 2 verticals, the payment bank and payment solution company, have emerged as key layers for deep customer engagement as well as strategic levers for creating distribution strength by leveraging the group ecosystem. JPBL's business correspondent network grew to about 7,300 BCs nationwide with new BCs added during the quarter. This expanded network enhances JPBL's reach, particularly in rural areas, by supporting customers through an assisted digital channel.

JPSL also saw significant technology enhancements during the quarter. The business has upgraded to a new robust SaaS-based platform for payment services that will support a diversified distribution strategy. Small merchants can now be onboarded onto our payment solutions platform within 5 minutes by leveraging AI.

A large part of our population still uses feature phones, and the integration with JioBharat will ensure that they don't miss out on convenient payment solutions for their small businesses just because they don't own a smartphone. For JPSL, this will translate into a much wider merchant base.

Jio Insurance Broking Limited, or JIBL's product portfolio is now complete with a range of insurance plans available from 31 leading insurance companies across all categories and through its 3 primary distribution channels, direct-to-customer, embedded and ecosystem sales and institutional sales. During the quarter, JIBL expanded its offerings by launching non-term life insurance through direct-to-customer channel.

Additionally, the number of plans available across auto, 2-wheeler, health and life insurance categories more than doubled quarter-on-quarter to a total of 54 plans. JIBL has also codeveloped and launched a range of sachet insurance products, including solar panel insurance and cyber insurance, to address specific customer needs under its embedded insurance channel. In the institutional channel, JIBL added 39 new corporate clients during the quarter and continued to witness sales momentum through a comprehensive suite of products spanning group term life, group medical cover, group personal accident and commercial insurance.

On our partnership with BlackRock for investment solutions, Jio BlackRock Asset Management Private Limited submitted its application for final regulatory approval in December of 2024. Concurrently, we are also in advanced stages of building the senior leadership and core business teams and are working to make the technology platform and infrastructure operational. Jio BlackRock Asset management is building a platform that will enable us to simplify the investment landscape in India while ensuring operational excellence and efficiency.

On the wealth management front, Jio BlackRock Investment Advisers Private Limited was formed in September 2024. Recruitment for the senior leadership of the wealth management company is currently underway.

In conclusion, Q3 FY '25 has been a quarter of robust execution and progress across all our businesses. Our strong brand and ecosystem, a modern tech stack free of legacy data analytics capabilities, cost levers and a strong focus on governance gives us the right to win. Our aspiration is to become one of the leading companies in financial services, both in terms of meaningful market share as well as return ratios. And the journey towards this has begun well. Thank you.

And with that, I now invite Abhishek Pathak, our Group CFO, to provide a detailed overview of our financial performance for Q3 FY '25. Over to you, Abhishek.

Abhishek Haridas Pathak
Group Chief Financial Officer

Thank you, Hitesh. Good evening, everyone. Let me take this opportunity to wish you all a wonderful new year and season's greeting from all of us at JFSL. Q3 FY '25 has been a quarter of robust operational execution with a significant increase in our NBFC loan book and the launch of new products through the JioFinance app, our direct-to-customer digital distribution channel. In this context, we are pleased to share the financial highlights for the third quarter and 9 months ended December 31, 2024.

Our financial results for this period are prepared in compliance with Ind AS, as prescribed by the Ministry of Corporate Affairs. This slide highlights our group structure. JFSL is a holding company, which operates its financial services businesses through its customer-facing subsidiaries, JVs and associates. With a prudent risk management framework and strong governance structures in place, these entities are supported by multilayered products and business teams.

During the quarter, Jio BlackRock Asset Management Private Limited was incorporated as a 50-50 JV following JFSL and BlackRock receiving in-principle approval in September 2024 to sponsor a mutual fund. JFSL and BlackRock have made an initial investment of INR 82.5 crores each in this entity. Jio BlackRock Asset Management has filed for final approval with the regulator in December 2024.

In addition, JFSL and BlackRock also made an initial investment of INR 3 crores each in Jio BlackRock Investment Advisers Private Limited, another 50-50 JV for wealth management incorporated in September 2024.

Moving on to the financial performance now. JFSL's consolidated total income for the quarter was INR 449 crores, versus INR 414 crores in Q3 FY '24 and INR 694 crores in Q2 FY '25. Sequentially, total income declined as total income in Q2 FY '25 included a dividend of INR 241 crores received on the shares of Reliance Industries Limited, held by Reliance Industrial Investments and Holdings Limited or RIIHL, which is an investment holding company and a wholly owned subsidiary of JFSL.

The consolidated total income for Q3 FY '25 comprised the following: interest income of INR 210 crores, which includes interest earned on our loan book and income from our treasury operations; net gain on fair value changes on money market and liquid mutual funds of INR 191 crores; and fees and commission income of INR 37 crores on account of fees received by the insurance broking and the payment services businesses.

With respect to our treasury operations, I would like to highlight that our prudent cash management helped us navigate a challenging market environment. The company's total expenses including provisions for Q3 FY '25 was INR 131 crore as compared to INR 98 crores in Q3 FY '24 and INR 146 crores in Q2 FY '25.

Provisions on account of ECL increased to INR 12 crores in Q3 FY '25 from INR 4 crores in Q2 FY '25. Excluding provisions, total expenses declined on a quarterly basis. This was on account of annual CSR expense incurred in Q2 FY '25 and pre-incorporation expenses attributable to new businesses in subsidiaries and JVs. Shares of associates and joint ventures stood at INR 59 crores in Q3 FY '25 versus INR 66 crores in Q3 FY '24 and INR 225 crores in Q2 FY '25.

It may be noted that in Q2 FY '25, Reliance Services and Holdings Limited, or RSHL, received dividend on its investment in RIL shares. RSHL is accounted for and associated of JFSL. Consolidated profit after tax in Q3 FY

'25 stood at INR 295 crores versus INR 294 crores in Q3 FY '24 and INR 689 crores in Q2 FY '25. On a year-on-year basis, increase in total income was offset by higher expenses, including provisions and lower share of associates and joint ventures.

Now moving on to our stand-alone financial performance. Stand-alone total income in Q3 FY '25 was INR 148 crores versus INR 134 crores in Q3 FY '24 and INR 383 crores in Q2 FY '25. It is to be noted that in Q2 FY '25 JFSL received dividend income of INR 235 crores from RIIHL. Total expenses including provisions for Q3 FY'25 on a standalone basis was INR 48 crores as compared to INR 36 crores in Q3 FY '24 and INR 55 crores in Q2 FY '25. The sequential decline in expenses was mainly due to CSR expense incurred in Q2 FY'25. On a standalone basis, the profit after tax of the company for Q3 FY'25 was INR 75 crores versus INR 71 crores in Q3 FY '24 and INR 305 crores in Q2 FY '25.

In conclusion, I would like to reiterate that we will continue to focus on our cost levers and aim to maintain best-in-class cost-to-income ratio, driving benefits for all our stakeholders. Thank you for your continued support as we pursue a sustainable path to value creation within the guardrails of our core guiding principles.

With this, I would like to hand over the call to Jill. Thank you so much for your time.

Jill Deviprasad
Head of Investor Relations

Thank you, Hitesh and Abhishek, and thank you, everyone, for joining this call. As we conclude our earnings call, we invite you to explore the detailed earnings presentation available on our website and the stock exchanges. Have a good one. Thank you.
